

# What is investment?

## 1. Definitions

| Investment<br>投资  | <p>Putting money into an <b>asset (资产)</b> to earn a <b>total return (总回报)</b>.<br/>The expected return is supported mainly by <b>income, productive activity</b> or evidence about <b>underlying value</b>.<br/>The investor accepts a <b>possible loss</b> after comparing <b>risk and return</b>.</p> <p><b>Examples</b></p> <table><tr><th>Asset</th><th>Sources of total return</th><th>How a loss can occur</th></tr><tr><td>Stocks (股票)</td><td>Dividends; possible capital gain</td><td>Price falls; dividends are cut</td></tr><tr><td>Bonds (债券)</td><td>Coupon interest; possible capital gain</td><td>Issuer defaults; price falls before sale</td></tr><tr><td>Property (房产)</td><td>Net rent; possible capital gain</td><td>Vacancy or costs reduce rent; price falls</td></tr><tr><td>Index fund (指数基金)</td><td>Distributions; possible capital gain</td><td>Fund value falls; fees reduce return</td></tr></table> | Asset                                     | Sources of total return | How a loss can occur | Stocks (股票) | Dividends; possible capital gain | Price falls; dividends are cut | Bonds (债券) | Coupon interest; possible capital gain | Issuer defaults; price falls before sale | Property (房产) | Net rent; possible capital gain | Vacancy or costs reduce rent; price falls | Index fund (指数基金) | Distributions; possible capital gain | Fund value falls; fees reduce return |
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| Asset             | Sources of total return                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | How a loss can occur                      |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |
| Stocks (股票)       | Dividends; possible capital gain                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Price falls; dividends are cut            |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |
| Bonds (债券)        | Coupon interest; possible capital gain                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Issuer defaults; price falls before sale  |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |
| Property (房产)     | Net rent; possible capital gain                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Vacancy or costs reduce rent; price falls |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |
| Index fund (指数基金) | Distributions; possible capital gain                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Fund value falls; fees reduce return      |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |
| Speculation<br>投机 | <p>Buying an asset mainly to gain from a <b>predicted price change (价格变动)</b>.<br/>A gain depends mainly on the prediction (预测) being correct.</p> <p><b>Examples</b></p> <ul style="list-style-type: none"><li>• Shares bought mainly because of an unverified rumour (传闻)</li><li>• Gold bought mainly for a rapid resale gain</li><li>• Currency (外币) bought mainly for a predicted exchange-rate move</li><li>• Bitcoin (比特币) bought mainly because a rapid price rise is predicted</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                           |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |
| Saving<br>储蓄      | <p>Keeping some income for future use instead of spending it now.<br/>The main priorities are <b>capital preservation (保本)</b> and <b>liquidity (流动性)</b>, not a high return.<br/>Interest may be earned, but safety and ready access remain the main purpose.</p> <p><b>Examples</b></p> <ul style="list-style-type: none"><li>• An emergency fund in an instant-access account</li><li>• Examination fees held in a protected deposit</li><li>• A short-term cash buffer that earns modest interest</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                    |                                           |                         |                      |             |                                  |                                |            |                                        |                                          |               |                                 |                                           |                   |                                      |                                      |

**2. Choose: Investment, speculation or saving?**

| Clue or decision                                                                                                                                                                   | Investment, speculation or saving? |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| 1. Expected return comes mainly from income, productive activity or evidence about underlying value.                                                                               | <i>Investment</i>                  |
| 2. Expected gain depends mainly on a predicted price movement or uncertain event.                                                                                                  |                                    |
| 3. Capital preservation and liquidity are the main priorities.                                                                                                                     |                                    |
| 4. Amina compares a company's profits, cash flow and debt. She then buys a diversified group of shares. She expects dividends and long-term business growth to provide the return. |                                    |
| 5. Bao borrows money after an online rumour predicts a higher share price next week. He plans to sell immediately after a government announcement.                                 |                                    |
| 6. Chloe estimates rent, maintenance and vacancy costs before buying a flat. She expects net rent to be the main source of return.                                                 |                                    |
| 7. Daniel needs his examination fees in eight months. He keeps the money in a protected easy-access account because liquidity and capital preservation matter most.                |                                    |
| 8. Eva plans for university costs in ten years. She buys a diversified fund after studying its fees and risks. She accepts that its market value may fall.                         |                                    |
| 9. Farah keeps an emergency fund in an instant-access bank account. Quick withdrawal matters more to her than a higher expected return.                                            |                                    |
| 10. George buys a bond fund for retirement. He examines interest income, default risk and fees. He accepts possible changes in market value.                                       |                                    |
| 11. Hadi buys Bitcoin (比特币) after an influencer predicts a price jump this weekend. He plans to sell immediately if the predicted rise occurs.                                     |                                    |
| 12. Iris buys Currency (外币) before a central-bank announcement only because she predicts it will rise in value. Her expected gain depends on that price prediction.                |                                    |
| 13. Jun needs his tuition payment in three months. He keeps the money in a protected easy-access account because safety and liquidity matter most.                                 |                                    |

### | MCQs

Circle the best answer.

**1. What is the strongest evidence that a decision is a financial investment?**

- A. The asset has risen in price before.
- B. Expected return is supported by income, productive activity or evidence about underlying value.
- C. Money can be withdrawn immediately with no possible loss.
- D. The buyer plans to sell after an unverified rumour.

**2. Which decision is saving rather than financial investment?**

- A. Keeping money for a school trip next month in a protected easy-access account.
- B. Buying a diversified fund (多元化基金) for long-term growth after reviewing its fees and risks.
- C. Buying shares after analysing profits, debt and cash flow.
- D. Buying property mainly for expected net rent.

**3. Which evidence most clearly indicates speculation?**

- A. Expected bond interest after analysing default risk.
- B. Expected net rent after estimating vacancy and maintenance.
- C. Borrowing after a rumour of a next-week price jump and planning a quick sale.
- D. Accepting that a diversified long-term fund can lose value.

**4. Which statement about saving is correct?**

- A. Earning interest automatically makes saving a financial investment.
- B. Saving cannot lose purchasing power.
- C. Capital preservation and liquidity can be more important than a high return.
- D. Saving always means holding cash at home.

**5. Two people buy the same asset. Why might one be investing and the other speculating?**

- A. The asset name decides the category.
- B. The person who pays the higher price is the speculator.
- C. One expects income or evidence-supported growth; the other mainly predicts a price change.
- D. The person planning to sell sooner is always the speculator.

### **| Think:**

Use at least two accurate terms in each answer. Explain rather than give only yes or no.

#### **1. Save first or invest now?**

Mina receives ¥500 and has no money set aside for emergencies. Should she save some before investing? Explain. You may use two or more of the following terms: emergency fund, liquidity, essential spending, possible loss.

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#### **2. Match the decision to the time horizon**

Leo will need the money for a laptop in six months. He wants a higher return, but cannot afford to lose the money. Should he save or invest it? Explain. You may use two or more of the following terms: time horizon, liquidity, capital preservation, possible loss.

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#### **3. Identify speculation and its risk**

Nora borrows money to buy shares after reading an unverified online rumour. She plans to sell tomorrow if the price rises. What makes this speculation, and what risk is she taking? You may use two or more of the following terms: rumour, price prediction, borrowed money, possible loss.

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